

Maruti Suzuki India Ltd. (MARUTI)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Jul 2022

(no extractable text — likely a scanned image PDF)

Call: Nov 2022

(no extractable text — likely a scanned image PDF)

Call: Feb 2023

(no extractable text — likely a scanned image PDF)

Call: May 2023

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Call: Jul 2023

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Call: Jan 2026

(no extractable text — likely a scanned image PDF)

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Q4 FY26 Earnings Conference Call

April 28, 2026

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MSIL Conference Call Transcript April 28, 2026 Moderator: Ladies and gentlemen , good day, and welcome to the Maruti Suzuki India Limited Q4 FY '26

Earnings Conference Call. All participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Pranav. Thank you, and over to you, sir.

Pranav Ambaprasad : Thank you, D orwin. Ladies and gentlemen, good afternoon once again. Welcome you all to Q4 FY '26 Earnings Call. May I introduce you to the management team from Maruti Suzuki. Today, we have with us our Chief Investor Relations Officer, Mr. Rahul Bharti; and CFO, Mr. Arnab Roy. Before we begin, may I remind you of the Safe Harbor . We may be making some forward - looking statements that have to be understood in conjunction with the uncertainty and the risks that company faces.

I'd also like to inform you that the call is being recorded, and the audio recording and the transcript will be available at our website. Please note that in case of any inadvertent error during this live audio call, the transcript will be provided with th e corrected information.

The con call will begin with a brief statement on the performance and outlook of our business by CIRO and Senior Executive Officer, Corporate Affairs, Mr. Rahul Bharti, after which we'll be happy to receive your questions.

I would now like to invite our Chief Investor Relations Officer, Mr. Rahul Bharti. Over to you, sir.

Rahul Bharti : Thanks Pranav . Good afternoon, ladies and gentlemen, and thank you for joining us. Before I come to the company's financial performance, I would like to briefly share our perspective on the passenger vehicle industry during the financial year '25 -26 and Maruti Suzuki's operating performance in this environment. You would be aware, financial year '25 -26 was a year of 2 distinct halves for the Indian PV industry.

In the first half of the fiscal, the passenger vehicle market declined by about 0.4% year -on-year, reflecting affordability pressures, particularly in the small car segment. However, in the second half of the year, led by the government's GST reform, the i ndustry witnessed a sharp turnaround with the passenger vehicle market growing by a whopping 16.7% year -on-year. This rebound was clearly led by the small car segment, particularly vehicles in the 18% GST bracket, where reduction in acquisition cost helped revive demand.

For Maruti Suzuki, the rebound in the domestic market was even stronger than the industry.

While our domestic sales declined by 5.6% in the first half of the fiscal year, the sales volume grew by 12.3% in the second half of the year, generating a swing of about 17.9%.

Our domestic sales volume growth during the year was constrained by production capacity. As of the end of the fiscal year, around 190,000 customer orders remained unserved, and we are trying to service them fast, highlighting the strength of the underlying demand. Importantly, near 130,000 of these pending orders were in the small car segment, falling in the 18% GST bracket.

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MSIL Conference Call Transcript April 28, 2026 In addition, the dealer inventory was at a low of about 12 days ' stock.

Notably, even in a market

largely driven by SUVs, the top -selling passenger vehicle in financial year '25-26 was the Dzire, which is a sedan placed within the 18% GST bracket.

During the second half, we observed higher showroom traction from two-wheeler upgraders , as well as an increase in first -time buyers. While rural markets continue d to perform well during the entire year, the urban markets also recovered and posted a growth post the GST reform.

Alongside the recovery in small cars, Maruti Suzuki also strengthened its

performance in the

mid-SUV segment during the year. And towards this, the launch of the V ICTORIS played an important role. The VICTORIS has seen strong customer acceptance and is the fastest model in mid-SUV to cross 50,000 cumulative sales. It is no wonder that the VICTORIS got the Indian Car of the Year Award, where 19 prominent auto publications form a jury and jointly vote for the best car in the country.

While GST reforms supported the revival of entry -level demand, the VICTORIS contributed

meaningfully to our volume growth in the mid-SUV segment, enabling us to participate more competitively in one of the fastest-growing segments of industry.

In addition, during the year, we also launched our first battery electric vehicle, the e VITARA.

The e VITARA represents Maruti Suzuki's first fully electric SUV developed on a fresh dedicated platform and designed for Indian and about 100 global markets. Happy to share that the initial response has been quite encouraging, and the model strengthens our preparedness for the gradual transition towards electric mobility, while we continue to follow a balanced multi-powertrain technology pathway for reducing fleet carbon emissions.

Alongside the domestic market, exports remained an important growth driver during the year.

Exports volume grew strongly in the financial year '25-26, reinforcing Maruti Suzuki's position as the leading exporter of passenger vehicles supported by a diversified presence across global markets. Investors will be very happy to note that your company, just one company among 18 car manufacturers in India, alone contributed 49% share of India's total passenger vehicle exports in the financial year.

At the same time, in financial year '25-26, the operating environment for the automobile industry remained complex. You are aware, during the year, geopolitical developments such as supply issues in rare earth metals, the conflict involving the West Asia region, posed risk to supply chains, particularly energy, certain raw materials and logistics. These developments increased uncertainty for the industry and required greater focus on business continuity.

The company has been working very closely with its supply chain and logistic partners to ensure continuity of operations and mitigate potential disruptions. We have strengthened coordination across critical suppliers and enhanced contingency planning. However, the situation does remain dynamic and cost pressures do persist. We continue to closely monitor developments and respond as required.

Despite the uncertainties posed by the ongoing geopolitical tensions, the company maintains strong confidence in the resilience of India's economy. While acknowledging that war-related

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MSIL Conference Call Transcript April 28, 2026 challenges may impact the business environment in the short term, the company believes these

disruptions are temporary and will likely subside as circumstances improve.

Importantly, the recent GST reduction is seen as a transformative factor for the passenger vehicle sector in India. By lowering taxes, the reform has enhanced affordability, making passenger vehicles accessible to a broader segment of customers. This, in turn, has set the industry on a path of sustained long-term structural growth by enlarging the potential customer base.

Consequently, the company is proactively accelerating its capacity expansion efforts to address the strong demand and fulfill pending orders. The second plant at the Kharkhoda facility and the fourth production line at the Hansalpur facility in Gujarat is set to become operational within this financial year. Each of these new units will add an annual production capacity of 250,000 vehicles. To put this in perspective, increasing production capacity by about 0.5 million units in a single year is virtually unheard of in the passenger vehicle industry, at least in India and many

countries abroad. This bold move is a clear testament to our unwavering confidence and optimism in the immense growth potential that lies ahead. Besides, the company has put plans in place to increase the production capacity to 4 million units per annum in the medium term. Before we move to the financial results, I would like to share the major business highlights for the company.

In this financial year, the company achieved several significant milestones.

First, the company recorded its highest ever annual sales of 2.42 million vehicles, which includes the highest ever export of 447,000 vehicles.

Maruti Suzuki has set a new benchmark in the industry by achieving cumulative sales of 3 crore or 30 million units in the domestic market.

Coming to products, demonstrating its commitment to customer safety, the company is now offering 6 airbags as standard in almost all of its passenger vehicle product lineup - volumes going beyond 99% and advanced safety features like Electronic Stability Control, Anti-lock Braking System with Electronic Brakeforce Distribution as a standard across the entire product lineup.

On the same lines, the all-new Dzire, the VICTORIS, the e VITARA and the Invicto secured 5-star Bharat NCAP safety rating, while the Baleno secured a 4-star rating.

Further strengthening the company's robust network of 2,000 exclusive charging points across our sales and service network spanning across 1,100 cities, we have collaborated with 13 charge point operators to offer access to a vast charging infrastructure across the country.

Aligned with Suzuki's global vision, we plan to introduce multiple EVs and to support this, our aim is to enable a network of over 1 lakh charging points across India by 2030, along with our dealers and charge point operators.

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MSIL Conference Call Transcript April 28, 2026 For promoting inclusive mobility in mass segment cars, the company launched the WagonR with

an option of a swivel seat. Seemingly a small feature, but extremely customer -friendly, swivel seat is especially designed to offer greater convenience to senior citizens and persons with disabilities, bringing the 'Joy of Mobility' to them . Drawing inspiration from Suzuki Group's corporate slogan 'By Your Side ', this initiative aligns with the United Nations ' Sustainable Development Goal that aims to reduce inequality.

The company continued to expand its sales and service footprint. During the year, the total sales outlets increased to over 4,600 and service touch points increased to over 5,900 across the country.

The company has also set a new benchmark in green logistics by dispatching over 600,000 vehicles through railways in the financial year '25-26, which is a growth of about 18.5% over the previous year. Interestingly, in the past decade, Maruti Suzuki's share of rail mode in outbound logistics has grown exponentially, growing from 5.1% in 2016 to 26.5% in financial year '25 -'26, significantly reducing carbon emissions, the country's oil imports and easing road congestion.

Now I come to the financial results.

The company recorded its highest ever quarterly sales of 676,209 units, up 11.8% from quarter 4 of the previous financial year. Domestic sales were at 538,994 units and exports at an all -time high of 137,215 units.

During this period, the company achieved record net sales of about INR 500.79 billion compared to about INR388.39 billion in the same period a year ago. Operating profit, EBIT for quarter 4 of this year increased by 30.4% over quarter 4 of the previous financial year, reaching an all -time high of over INR44 billion. Despite the growth in operating profit, net profit declined by 6.9% year -on-year to nearly INR36 billion, primarily due to mark -to-market impact, which my colleague, Arnab , will explain in his part.

Before coming to explanation of results, I want to reiterate that Suzuki Motor Gujarat Private Lim

ited, which was our wholly owned subsidiary, in Gujarat got amalgamated with Maruti Suzuki starting December 1, 2025. The appointed date as per the scheme of amalgamation is 1st April 2025. And so the financial statements for the relevant periods have been restated for the purpose of comparison.

Now I'll explain the broad reasons for the financial performance. Since investors look out for a sequential comparison , I'll give you the analysis on a sequential basis. The overall sales volume grew by 1.3% and the net sales grew by 5.4%. Sequentially, the operating profit margin EBIT has expanded to 8.8% of net sales compared to 8.1% in quarter 3 of the financial year.

There were several favourable factors. Lower employee cost of about 100 bps. If you would recall, in quarter 3, we had a one -time provision on account of new Labour Codes. So comparing with that, quarter 4 was lower by 100 bps. The discounts were lower by about 50 bps, favourable foreign exchange movement by 30 bps, favourable fixed cost incidence of about 50 bps due to inventory accretion.

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MSIL Conference Call Transcript April 28, 2026 These were the positive factors. They were partially offset by some adverse factors. The adverse

commodity prices of about 80 bps. higher new model expenses of about 60 bps. The other expenses were higher by 20 bps, largely on account of some lumpiness and seasonality associated with other expenses in CSR, R&D , etc. Furthermore, at the PAT level, at the net profit level, the hardening of bond yields resulted in mark -to-market impact of approximately INR7.5 billion on our invested surplus.

I now come to the highlights of the full year '25 -26. The company recorded highest ever annual sales volume, net sales and net profit. The company sold a total of 2,422,713 units in financial year '25 -26, compared to 2,234,266 units in the previous year. The company registered record net sales of over INR1.74 trillion in financial year '25 -26, a growth of 20.2% over the previous year. The company achieved its all -time high net profit of over INR144.4 billion in financial year '25 -26 compared to net profit of about INR142.9 billion in the previous year.

Along with profits come dividends. The Board of Directors recommended its highest ever dividend of INR 140 per share of the face value of INR 5 per share compared to INR135 per share in the previous year.

With that, ladies and gentlemen, we are now ready to take your questions, your feedback and any other observations that you may have. Thank you.

Moderator : Our first question comes from the line of Gunjan Prithyani from Bank of America.

Gunjan Prithyani : My first question is on the cost headwinds and thanks for giving that margin bridge. Can you just give us more color on how do we think about incremental cost headwinds? You mentioned it was 80 basis points in quarter 4. But looking at where the commodities are and the steel repricing that is due, how should we think about the cost headwinds going into the next 1 or 2

quarters? And maybe what are the mitigating factors that we are working through to make sure that the margins remain in a range? Or maybe you just give us some guidance on how do we think about margins?

Rahul Bharti : Thanks, Gunjan. So though you asked only about margin, but I'll speak about both demand scenario and margins because just now we had a press conference along with our Chairman. One thing that he mentioned was that fortunately, the impact does not seem to be much. The demand sentiment seems to be good. Margins, of course, some prices like commodity, energy, gas prices do go up in such times, which is possible to understand.

But we've been seeing commodity changes in the past also. And we also believe that once the West Asia crisis is over, many of these cost pressures would ease. So yes, there is some pressure, but we are taking it as part of regular business.

Gunjan Prithyani :

Okay. Do we see a similar sort of cost headwind going into quarter 1 as well, 80 basis points was what we took in quarter 4. So, I'm just trying to understand while these are temporary and would get normalized, any sense that you can give? And is there a mitigating action like discounts are coming down, any pricing move that can help you offset the commodity impact?

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MSIL Conference Call Transcript April 28, 2026 Rahul Bharti : A lot of mitigation actions are in progress. In fact, that management spends a lot of time on this.

First, we have to ensure that there is no disruption in our production operations. So, whether it is gas supplies or alternate fuels, etc., and arranging them from the lowest possible source, diversifying our portfolio. Second, fortunately, the demand scenario is good. So, we have a focus that our capacity utilization should also continue to be high.

We are fortunate today, we have pending orders, but we want that situation also to continue and volume buoyancy should be good. That helps a lot. Of course, we are trying to arrange all the commodities at the lowest possible cost, diversify our supply chain. So all those mitigating factors continue. It will be difficult to put a number. But yes, in such a situation some cost headwinds do come and it's part of business.

Gunjan Prithyani : Okay. Got it. My second question is on the emission regulations now. I'm assuming the CAFE norms what we've seen are near final version. Some sense on how are we thinking about the CAFE norms? What does it mean in terms of the powertrain mix, particularly interested in understanding what is the EV salience that we need in the block of 3 years or 2 years, the way CAFE norms define it. And recently, there's also a lot of noise around flex-fuels, E85. If you can talk us through the readiness on this and what sort of portfolio cost impact, we see because of flex-fuel. A bit more on the emission regulations?

Rahul Bharti : CAFE is an energy efficiency regulation. The final draft is yet to be notified. So it's not right to make a premature commitment. But whatever we have seen till now seems to have a good balance across multiple powertrain technologies to reduce CO2 emissions.

So they have encouraged all technologies, which is a positive. And it's showing in the current war, where biofuels like Compressed Biogas or ethanol are coming to the rescue when crude oil imports come under pressure. I should also tell you that Maruti Suzuki models are inherently far more efficient than any in its peer group.

And if you compare any like-to-like model, we would be about 20% more efficient. So that way the company is always positioned from a technology perspective positively for energy efficiency. Your next question was on flex-fuel. We have the technology, whether it is for ethanol blending increase or for flex-fuel vehicles. We have the technology and we'll support the government whenever the need arises.

Gunjan Prithyani : What can be the cost increase because of flex-fuel for upgrading the engine or complement change, any present idea around that?

Rahul Bharti : First of all, let me tell you, there are two distinct movements happening in ethanol. One is all cars on the road, which is something like we are talking about sales of about 5 million cars a year or all the car parc, which is over 4 crore cars in the population. The government is thinking of increasing the minimum blending from E20 to E21, E22 something like that or maybe till all the way up to E25. That is one clear action.

The other clear action is launching models that can take any blend of ethanol and gasoline from 0 to 100. The second one won't be a meaningful volume by number as of now because of unavailability of such models and also we need dispensing pumps in the country that will span

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MSIL Conference Call Transcript April 28, 2026 the entire network. We need

more models. We need parity between ethanol and petrol price. So all those factors will take some time for flex-fuels to develop. So it is like a futuristic plan. The volumes will be minimal at this stage. It will grow, say, 5 years to 10 years from now, it will become a meaningful volume, nothing immediately. So it does not affect our cost structure.

Gunjan Prithyani : Okay. Got it. I will join back the queue. Thank you so much.

Moderator : Thank you. Our next question comes from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah : Hi, good evening and thanks for taking my question. My first question is around the growth outlook for the domestic passenger vehicle industry and what you think could be the growth outlook on exports just given how the macro seems to be evolving. I think in the SIAM Looking Ahead Conclave, 3 months back, the industry had thought that passenger vehicles should be able to grow between 5% to 7% in FY 27, but the macro seems to have changed. But you did mention that the demand remains to be pretty good. There's not been much impact. So I just want to understand how you're thinking about industry growth, both domestic and export for FY 27?

Rahul Bharti : Our Chairman just mentioned that this time we would be thinking of utilizing our new plants. Obviously, the two new plants that come up with a steady-state total capacity of 500,000 units, will need a ramp-up. Effectively, one can expect that we'll have an additional volume of about 250,000 cars available this year over the previous year. The broad expectation, which our Chairman also conveyed, is growth of over 10% this year as compared to the last year. And, of course, the situation is dynamic. This is the initial expectation.

Chandramouli Muthiah : Second question is around capacity. You mentioned that there will be 250,000 units of additional capacity coming on board in Gujarat later this fiscal?

Rahul Bharti : One in Haryana, the other in Gujarat.

Chandramouli Muthiah : Yes. So just related to that, last year when you had put the first Greenfield in Kharkhoda, there was, I think, cumulative 60 basis points of start-up costs because you had to build up utilization over a period of time. But at this stage, it looks like you do have good visibility around demand. So just want to understand if there will be any start-up costs to be expected in these brownfield capacity additions that you're doing in Kharkhoda and in Gujarat.

Arnab Roy : There will be some ramp-up definitely for the Kharkhoda Phase 2 plant, but we do not expect anything significant because as Rahul explained, the demand outlook looks good, and economies of scale should be able to broadly take care of the start-up cost. So we don't expect anything significant. If anything, the demand outlook stays positive. Of course, we'll have to keep monitoring the macro environment and the other variables factors.

Chandramouli Muthiah : Got it. That's helpful. And last question, just bookkeeping questions around the other income outlook. So it looks like you had a INR750 crores mark-to-market notional impact on other income this quarter. If bond yields were to remain constant, do you think this completely reverses next quarter? And also just the other bookkeeping questions are around export revenue and the retail number, Maruti's retail number for the quarter?

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MSIL Conference Call Transcript April 28, 2026 Arnab Roy : Yes. First, let me answer your mark-to-market question. I think others will also have this

question. So overall, if you see because of the hardening of the interest rates and when we talk about hardening of interest rates in our portfolio, there are several kind of benchmark rates, which have a weighted average impact, whether it is the 1-year G-Sec or the 1-year corporate bond or the commercial paper.

But on a blended basis, if on

it looks at it, we had almost a 46 bps impact this quarter. And this 46 bps translates to about INR750 crores hit in the quarter sequentially.

If you compare on a Y-o-Y basis, there is INR 1,075 crores hit, so which is quite significant. That's the reason you see the other income quite significantly down when you are comparing the PBT of this year versus last year on a full year basis. So, this is something which you have to keep in mind.

As of yesterday, some amount of reversal has already happened. Roughly about 35% of this is already reversed, and this is an everyday moving number. So we'll have to keep monitoring it. That's on the mark-to-market roughly. In terms of our overall credit quality, I think our credit quality remains very robust. And I think we are at more than 99.5% AAA-rated security. So that remains quite robust.

So the long term, it is completely secured. Short term, of course, we are exposed to the interest rate changes because of the macroeconomic environment. Your second question was on exports, right?

Rahul Bharti: Exports revenue is about \$1.24 billion for the quarter.

Chandramouli Muthiah : Got it. And just the retail numbers, Maruti's retail volume number for the quarter. I think last year, fourth quarter, we did 430,000 units, this year what the retail number is for fourth quarter?

Rahul Bharti : Last year, which is the figure you have?

Chandramouli Muthiah : 430,000 units for fourth quarter, MSIL domestic retail.

Rahul Bharti : It was 415,000 units. This was for last year fourth quarter. This year, fourth quarter was 468,700 units approximately. So, there's a 12.9% year-on-year growth in the quarter in retail sales.

Chandramouli Muthiah : Makes sense. Thank you very much and all the best.

Moderator : Thank you. Our next question is from the line of Raghunandhan N L from Nuvama Research.

Please go ahead.

Raghunandhan NL: Good evening, team. Thank you for the opportunity. Sir, firstly, if you can indicate growth or the share for rural urban in FY26? And also, if you can talk about the trends for first-time replacement additional buyers for full year FY26?

Rahul Bharti : It is a very hard to draw a line between urban and rural because the boundaries are blurring now . And it's a very heartening thing that the rural India is integrating with the urban India. So the consumption trends which were earlier associated with urban India are now being seen in rural

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MSIL Conference Call Transcript April 28, 2026 India. So, we don't monitor that figure anymore. But of course, we keep the distribution network as extensive as possible.

Raghunandhan NL: Noted, sir. And how are you seeing the trend in the first-time buyers and the share increase?

Rahul Bharti : Happy to share that the first-time buyer is about 51% in Q4 FY26 . 18% is about replacement buyer and 31% are additional car buyers .

Raghunandhan NL: And how has the share increased, sir? How should we look at it? How has the share of first-time buyers increased in comparison to pre -GST cut?

Rahul Bharti : H1FY26 was about 42%. Q3 FY26 was at 48% and Q4 FY26 at 51%. It is a very clear signal that the government's intended support to the first-time buyer is showing results.

Raghunandhan NL: Got it sir. Thanks for sharing this. And this also aligns with that 130,000 small car orders, which you mentioned is pending. Just a bookkeeping question for Q4 FY26 . Can you share the blended discounts number for Q4 FY26 ?

Rahul Bharti : What we can share with you is that EBIT margin has expanded by about 50 bps on account of lower discounts in the quarter sequentially.

Raghunandhan NL: Got it sir. Thank you very much.

Moderator : Thank you. Our next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh : Hi. Good evening and thank you for taking my question. My first question was for fiscal year'26-27, th

e model launch plan that we have . I can understand that you are not speaking specifically about the models. But if you can give some sense on how many new nameplate addition and model refreshes you are targeting across ICE and separately for EV?

Rahul Bharti : We have a healthy product line-up, and we'll keep our customers enthralled . We need to improve our market share. But we'll keep the excitement also on. So, across categories, we will have new models. We have spoken about 7 more SUVs all the way through the end of the decade. So let the excitement continue.

Kumar Rakesh: Sure. But can we imply that going by that run rate, we should be having one new nameplate at the end of the year? Is that a fair expectation?

Rahul Bharti : See, a model development is about 4 years lead time. So it's not necessary that we space it out equally all the time. There may be lumpiness around it. But there are 7 SUVs and other models planned till the end of the decade.

Kumar Rakesh : Got it. And on the EV side, e VITARA now is launched in the domestic market as well. I understand earlier you had indicated the aspiration to become the largest EV manufacturer in the country, which would include export as well. But how is the product doing in the domestic market? And what's your aspiration for the domestic market in the EV space?

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MSIL Conference Call Transcript April 28, 2026 Rahul Bharti : Thanks for that question. In fact, in my opening message, I mentioned that we are happy that

wherever we have sold that car, the customers are very happy. This is both in India and in our export markets. So that bodes well. Currently, we are constrained by production capacity.

Soon this year , when our fourth plant in Gujarat comes up and there's a gradual ramp -up, we'll keep increasing our supplies. We are also targeting that the customers to whom we deliver these cars and we fit home chargers, etc ., they should be totally satisfied and delighted customers. So, till the time we have lower numbers, at least we should focus on 100% customer delight.

Kumar Rakesh : Got it. Just one final question on the margin side. I understand you spoke about that there are a lot of moving parts to the margin and things are dynamic. But once we have passed through the Middle East conflict and part of it getting reversed and we potentially taking some price increase as well, in a quarter or 2, we should get back on a trajectory of margin expansion and potentially in the direction of 10% EBIT margin, which we have targeted to reach by 2030. Is that a fair expectation?

Rahul Bharti : So it's always difficult to give out a guidance on margins. But what I can tell you is the quarter 4 FY26 EBIT margin was in line with estimate. As you rightly said, there are many moving parts.

And I would also add to that, that the market leader has the privilege of having multiple moving parts, multiple levers to help margins. So we are very confident and optimistic that subject to

these headwinds of the war, the commodities and the energy prices, after that is over, we'll come back to a healthy trajectory.

Kumar Rakesh : Thanks a lot.

Moderator : Thank you. The next question comes from the line of Arvind Sharma from Citi. Please go ahead.

Arvind Sharma : Thank you, sir, for taking my question. First would be on a Q-o-Q basis, ASPs have increased a fair bit. How sustainable it is? And what are the drivers for this ASP increase quarter-on-quarter basis?

Rahul Bharti : We do believe that there is still headroom for ASP because of the upper segment models.

Arvind Sharma : From the fourth quarter level as well?

Rahul Bharti : Yes. For example, EVs have to increase in the future. So that will help ASPs.

Arvind Sharma : Sure. And on the balance sheet, just 2 points. What is the capex plan for these 2 expansions for FY '27? And also just saw that the inventory was fairly high at this year-end. Any specific reason for that?

Arvind Sharma : Any specific reason for that?

Arnab Roy : Overall, on the capex for FY 26-27, we are looking at a INR 14,000 crores capex for the full year. On the inventory, no, I don't think we have a significant increase. If you look at the total network stock, I think we are at a fairly good level. We are much lower than the industry in terms of our overall network stock.

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MSIL Conference Call Transcript April 28, 2026 Arvind Sharma : I meant the inventory in the balance sheet.

Arnab Roy : There will be always small timing issues, but let me just quickly see that once.

Rahul Bharti : So we'll come back on this while he has a look on the inventory. We can have the next question.

Arvind Sharma : Sure. Thanks so much.

Moderator : Thank you. The next question is from the line of Amit Hiranandani from PhillipCapital. Please go ahead.

Amit Hiranandani : Yes, thanks team for the opportunity and congrats for a reasonable set of numbers despite the input cost pressures and other challenges. Sir, my first question, wanted to just to reconfirm that you said the domestic PV industry to grow by 10%. So are we right in understanding this?

Rahul Bharti : No, no. We are speaking about Maruti, not the domestic PV industry. We are talking about Maruti Suzuki expectation.

Amit Hiranandani : Understood. That's clear. And sir, secondly, on the export situation. So what are our plans to deal with the present export situation?

Rahul Bharti : If you can help me predict the war, I can predict the export number. So we are in a healthy position. We have built a good franchise across countries. We are on a steep ramp-up path. And we want to have at least the last year numbers. But then there is so much of uncertainty that it's not responsible to give out a figure.

Amit Hiranandani : All right. Thank you, sir. All the best.

Moderator : Thank you. Ladies and gentlemen, we will take that as the last question for today.

Rahul Bharti : Sorry, there was one question which needs to be addressed.

Arnab Roy : So let me come back on the earlier inventory question before we close. It's a combination of predominantly various raw material and work in progress, not too much on the finished good side of it because I mean the production in the coming period has a quite steep outlook.

So, there are a bunch of goods in transit in there, kind of a stock which is needed for the production for the coming period because as you know, we are ramping up the capacity in the coming 2 quarters, a lot of preparatory work had to be done, so which is predominantly the composition of the inventory.

Moderator : Thank you. With that, ladies and gentlemen, it brings our conference call to an end. On behalf of Maruti Suzuki India Limited, we thank you all for joining us. You may now disconnect your lines.